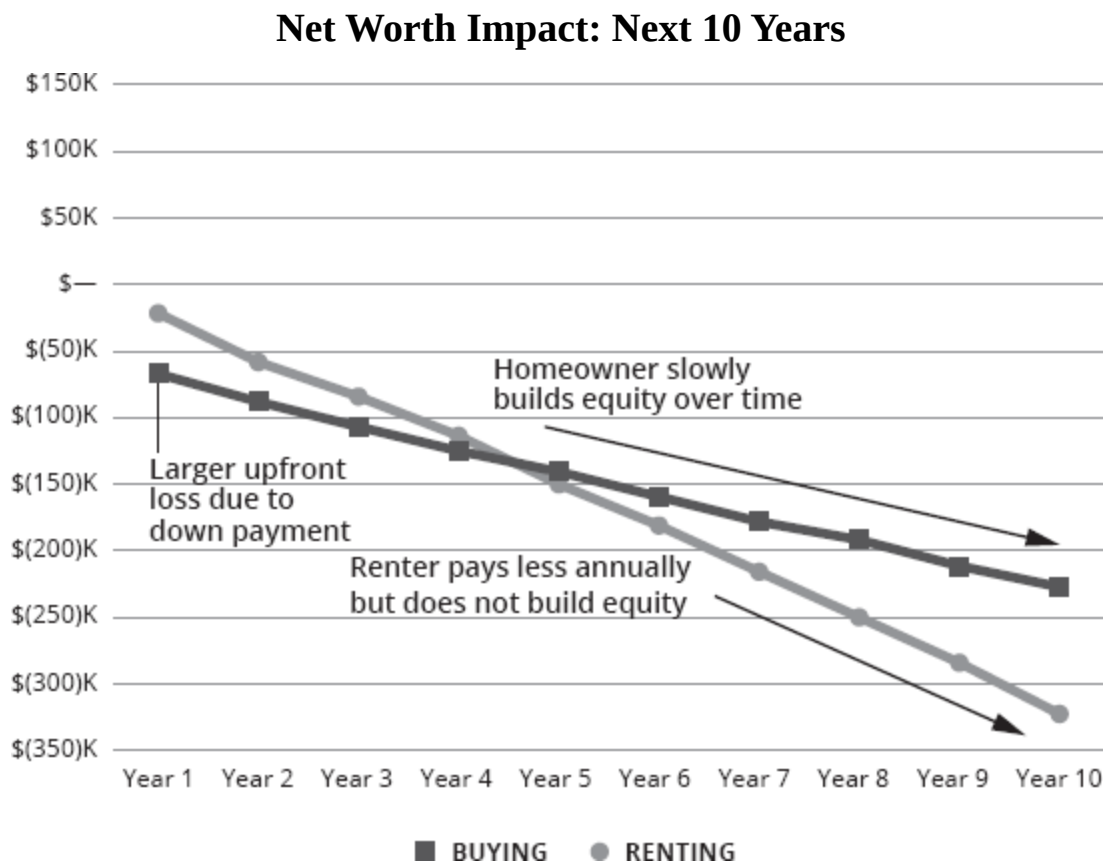


is still paying more each year than the renter. (Remember, the cost of rent is increasing by 3.4% every year, while the cost of the monthly mortgage payment is locked in place.) You can imagine that around year fifteen, the homeowner will be paying less each year—but who really has a robust fifteen-year plan?

But in the meantime, here's the important thing: The homeowner is going to be shelling out more cash over the next ten years. They'll have less disposable income for fun things like road trips and karaoke bar nights, and it'll be harder for them to invest in stocks, real estate, or retirement accounts.

Now, this is where the fun begins:



Right out of the gate, our homeowner line is looking a little droopy. That large up-front down payment plus closing costs takes a toll on the homeowner's net worth, but around year five, things start to change. Because the homeowner has been paying down their mortgage (and not